repay, loses interest. If neglected, the project may stop generating any cash flows and the assets may depreciate rapidly. Excessive indebtedness can destroy value.

2) Complete projects that are viable, even if it requires additional funds infusion.

Stalled projects do not get any better over time. If there are small investments needed to complete the project, and the promoter has no funds, it may still make sense to lend to the project, even while writing down the overall debt. Essentially, the new loan makes it possible to generate operating cash flows to service some debt, even if not all the outstanding debt.

3) Don't throw good money after bad money simply because there is an unreliable promise that debt will become serviceable.

This is the opposite of (2). If the project is unviable, doubling its size does not make it any more viable. Promoters that have over-borrowed often propose an increase in scale so that the bank's outstanding debt and new loans will all become serviceable. Perhaps it would be better for the bank to write down its loans to the initial project, rather than going deeper into the hole because the promoter may incur new cost overruns as he expands. An incompetent or unreliable promoter will remain so even when scale expands.

BANK MORAL HAZARD

Unfortunately, the incentives built into the public sector banking system have made it more difficult for public sector bank executives to follow these principles (I should add that some private sector bank executives have also not been immune on occasion). The short tenure of managers means they are unwilling to recognize losses immediately, and more willing to postpone them into the future for their successors to deal with. Such distorted incentives lead to overlending to or 'ever-green' unviable projects. Unfortunately, also, the taint of NPA